Local Option Taxes on November 2026 Ballot

Frequently Asked Questions – Updated

Published by Town of Essex October 13, 2026

1. **What are the three questions on the ballot related to Local Option Taxes (LOT)?**

    1. Shall the Town assess a one percent (1%) tax on retail sales, pursuant to 24 V.S.A. §138(b), with fifty percent (50%) of proceeds of such sales tax being dedicated exclusively to offset Town municipal property tax rates?

    2. Shall the Town assess a one percent (1%) tax on meals and alcoholic beverages, pursuant to 24 V.S.A. §138(b), with fifty percent (50%) of proceeds of such sales tax being dedicated exclusively to offset Town municipal property tax rates?

    3. Shall the Town assess a one percent (1%) tax on rooms, pursuant to 24 V.S.A. §138(b), with fifty percent (50%) of proceeds of such sales tax being dedicated exclusively to offset Town municipal property tax rates?

    Each ballot item is independent, meaning none, some, or all questions could be approved by voters on November 3, 2026. The "alcoholic beverages" noted in the second question applies to alcohol purchased and consumed at a restaurant or bar; alcohol purchased at a store for home consumption is included under retail sales.

2. **Would the Town receive 100% of the revenue collected?**

    Under *24 V.S.A. § 138(c)1,* any LOT shall be collected and administered by the Vermont Department of Taxes, with section (d)1 of the same statute specifying: "of the taxes collected under this section, 75 percent of the taxes shall be paid on a quarterly basis to the municipality in which they were collected, after reduction for the costs of administration and collection under subsection (c) of this section." The ballot language would commit 50% of these proceeds to municipal property tax relief.

    Any remaining revenues are deposited into the State's Payment in Lieu of Taxes (PILOT) Fund. Prior to 2025, the PILOT fund received 30% of taxes collected. The PILOT Fund is a State financial program managed by the Vermont Department of Taxes to compensate local municipalities for property taxes they cannot collect on tax-exempt, State-owned properties.

3. **What would the Town do with LOT revenues?**

As stated in the questions, should one or more of the measures pass, 50% of the revenues disbursed to the Town from the State would be dedicated to property tax relief for taxpayers. The other 50% of the revenues would be available to be assigned annually by the Selectboard, and could be dedicated to further property tax relief, capital projects or equipment, payments toward voter-approved debt, special initiatives such as a new municipal complex at 80-90 Upper Main Street, or other special funds or uses as approved by the Selectboard.

Please note that these revenues would not affect the State education tax, only the municipal property tax rate. Under State laws referenced above, LOT revenues cannot be used for education expenses.

4. **How is the Town estimating LOT revenues?**

The Department of Taxes publishes data identifying the volume of retail sales, meals, alcohol, and rooms within each community on a monthly and annual basis. The Town has used 2025 calendar year data and, using the guidance provided to municipalities by the State, has arrived at the following estimates:

2025 Calendar Year Data	**1% of Sales**
Total Meals sales in Essex = $13,663,428	$136,634
Total Alcohol sales in Essex = $1,596,153	$15,962
Total Retail sales in Essex = $100,648,929	$1,006,489
Online retail and short-term rental sales = $25,162,232*	$251,622
Total in collected LOT	$1,410,707
State-retained revenues	($352,677)
Estimated "proceeds" to Town of Essex	**$1,058,030**

*This activity was estimated at 25% of brick-and-mortar sales. Note there is no published data on "Rooms" in Essex as there are too few contributing businesses under State reporting practices; therefore no estimates are incorporated for Rooms revenues above.

The State's data and guide on how to use this data is available here: https://tax.vermont.gov/sites/tax/files/documents/GB-1230.pdf

5. **How are we sure that a LOT will be properly collected and allocated since the Town "shares" a zip code with Essex Junction? Many folks use "Essex Junction" as their address even when they are located in the Town. There have also been instances of**

online retailers and businesses in Essex charging a LOT that went to Essex Junction.

A Local Option Tax is a destination-based tax, meaning it's based on the location where the purchaser takes possession. Once implemented, businesses must charge the LOT on taxable purchases completed within the municipality where a LOT is in effect or when a taxable item is delivered to a customer within a municipality with a LOT in effect.

The State Tax Department says: *In order to file business tax paperwork, owners must identify an accurate business address and municipality in which they operate.* For businesses that may be uncertain where they are located and want to confirm the accuracy of their paperwork, or consumers who may be looking to determine whether an LOT was appropriately applied to a purchase, the State Tax Department hosts a searchable database and list of communities with a LOT in effect here: https://tax.vermont.gov/business/local-option-tax#tool.

Town staff and elected officials continue to reach out to businesses and the State Department of Taxes whenever we are made aware of a LOT being incorrectly applied.

Consumers affected by this are encouraged to share the situation with tax.business@vermont.gov and can also complete the State Form "REF-620" to be reimbursed for incorrectly charged funds.

6. **What goods are eligible to be taxed under the "retail sales" category?**

Please see the attached handout from the Vermont Department of Taxes for a full listing of which specific items are exempt and which are taxable. Items that are taxable include cannabis, cosmetics, most sports equipment, prepared foods, and clothing accessories like jewelry, watches, and handbags.

Generally excluded from this tax are:

- common over-the-counter medicines such as aspirin, antacids, or those to treat allergies;
- medical equipment (canes, eyeglasses, wheelchairs) and supplies (bandages, cough and cold meds, heat patches);
- basic necessities such as coats, shoes, diapers, underwear, socks and menstrual care products.

7. **Does the LOT apply to online purchases? What about streaming services, purchasing music for download, eBooks, etc.?**

Yes, a LOT for retail sales generally applies to sales completed online, including

"internet-based consumables" like those listed. A meals/alcohol tax would apply to take-out or delivery orders placed online as well.

The State suggests consumers of these services do two things:

1. *When purchasing a product online, make sure the vendor has your street name and number, not just your ZIP code.* Often the "address" lines are optional when entering payment, with only the "zip code" field required by the merchant. By providing your full street number and name whenever possible, this provides the retailer the information they need to correctly levy LOT charges. In all transactions, businesses are responsible for correctly identifying whether a LOT applies and correctly transmitting these revenues to the State.

2. *Wherever possible, use your site's 9-digit zip code.* These provide more specific detail to retailers for geocoding purposes, and are easy to look up by specific address here: https://tools.usps.com/zip-code-lookup.htm

8. What happens if the LOT is approved in November 2026? When would consumers see this tax on their receipts?

The Town must provide at least 90 days' notice to the Department of Taxes that voters approved a LOT and the Town wishes to begin collecting that revenue. If any of the measures pass, they will need a second "validation" vote before implementation; see item #10 below.

9. When and where do I vote on this item?

In-person voting will occur by Australian ballot at the polls, which will be open on Tuesday, November 3 from 7 a.m. to 7 p.m. at Essex Middle School, 60 Founders Road, Essex, VT, 05452. Most voters will be mailed a ballot by the State, and be sure to turn your ballot over to see all questions. An Informational Hearing will be held at 6:30 pm on November 2, 2026, at the Town Offices, 81 Main St, Essex Junction, VT, 05452.

10. Did I hear there was a procedural, legal issue with these questions?

It came to the Selectboard's attention that there was an issue with the "warning" of these questions, which needs to occur between 30-40 days prior to the vote. The Selectboard immediately held a Special Selectboard Meeting upon discovering this, and voted October 12, 2026 to warn the meeting for November 3, 2026. This means that should any of the 3 questions pass during the November 2026 election, a second election to uphold those votes would need to be held before the measure(s) would be valid. The second vote

would be in accordance with Vermont Statute 17 V.S.A. § 2662. The Selectboard anticipates having any ratification vote(s) at Town Meeting in March 2027. The statewide election was properly warned, and voters should fill out their ballots as normal.

11. Do I need to request a ballot be mailed to me?

Voters registered prior to September 5, 2026 were mailed a ballot from the State. Vermont automatically mails ballots to all qualified voters by October 1 of each even-numbered year. This mailing is required by State law. Visit the Vermont Voter Portal (vote.vermont.gov) to check the mail date of your ballot, the address provided for mailed ballots, and more.

If you registered to vote after September 5, a ballot will be mailed to you by the Town Clerk as soon as possible upon receiving your voter registration information.

A secure ballot box is available outside the main entrance of the Town Offices for returning ballots up until the evening of November 2. Ballots completed after this time must be brought to the polls on November 3, 2026, to be counted as official votes.

General Guidelines on Sales Tax: What is Taxable and Exempt

All tangible personal property is taxable as specified in Vermont statute 32 V.S.A. § 9701 and Vermont Sales and Use Tax Regulations § 1.9741(2), except for items specifically exempted by statute and regulation. The information on this fact sheet is a general guideline only. It is not an exhaustive list. It provides examples of property, either taxable or exempt, which are included in the broader definitions given in statute and regulation.

For questions about particular items, please email the Vermont Department of Taxes at tax.business@vermont.gov or call 802-828-2551. Visit our website for more information, guides, and fact sheets.

EXEMPT FOOD, FOOD PRODUCTS, AND BEVERAGES

Food, food products, and beverages are exempt from Vermont Sales and Use Tax under Vermont law 32 V.S.A. § 9741(13), with the exception of soft drinks and alcoholic beverages sold at retail in sealed containers for off-premises consumption.

Soft drinks are subject to Vermont tax under 32 V.S.A. § 9701(31) and (54). For further guidance on beverages that qualify as soft drinks subject to tax, see Vermont Sales and Use Tax on Soft Drinks.

EXEMPT CLOTHING

- Aprons, household and shop
- Athletic supporters
- Baby receiving blankets
- Bathing suits and caps
- Beach capes and coats
- Belts and suspenders
- Boots
- Coats and jackets
- Costumes
- Diapers, child andadult, including disposable diapers
- Earmuffs
- Footlets
- Formal wear
- Garters and garter belts
- Girdles
- Gloves and mittens for general use
- Hats and caps
- Hosiery
- Insoles for shoes
- Lab coats
- Neckties
- Overshoes
- Pantyhose
- Rainwear
- Rubber pants
- Sandals
- Scarves
- Shoes and shoelaces
- Slippers
- Sneakers
- Socks and stockings
- Steel-toed shoes
- Underwear
- Uniforms, athletic and nonathletic
- Wedding apparrel

Disclaimer: The information provided here is intended to be an overview only. Vermont tax statutes, regulations, Vermont Department of Taxes rulings, or court decisions supersede information presented here.
Revised January 2024 | Publication FS-1028

VERMONT
DEPARTMENT OF TAXES

EXEMPT OVER-THE-COUNTER-DRUGS

- Acne medications
- Analgesic salves and liniments
- Analgesic toothache preparations and dental repair kits
- Antacids
- Antiseptics and soaps used for the treatment of infection and skin diseases
- Aspirin, Ibuprofen, and similar pain-relief medications and analgesics
- Cough and cold medications, such as throat lozenges, cough drops, and syrups
- Decongestants and antihistamines
- Eye preparations for the healing or treatment of the eyes, such as contact lens solutions, eye drops, ointments, and washes
- Laxatives, cathartics, and suppositories
- Medicated burn remedies

EXEMPT MEDICAL EQUIPMENT AND SUPPLIES

Durable Medical Equipment

- Bath and shower chairs
- Commode chairs
- Dialysis treatment equipment
- Drug infusion devices
- Feeding pumps
- Hospital beds
- MRIs
- Oxygen equipment
- Resuscitator
- X-ray machine

Medical Supplies

- Bandages and surgical dressings
- Colostomy devices
- Disposable heating pads
- Hypodermic syringes and needles

Mobility Enhancing Equipment

- Canes
- Crutches
- Motorized carts
- Stairlifts
- Walkers
- Wheelchairs

Prosthetic Devices

- Artificial eyes
- Artificial limbs
- Braces
- Cervical collars
- Cranial hair prosthesis
- Dentures and dental appliances
- Electronic voice-producing machines
- Fabric and elastic supports
- Hearing aids
- Heart valves
- Orthotic devices
- Pacemakers
- Prescription eyeglasses and contact lenses
- Trusses

EXEMPT MENSTRUAL CARE PRODUCTS

- Menstrual cups and pads
- Menstrual sponges
- Panty liners
- Period panties
- Sanitary napkins
- Tampons

TAXABLE CLOTHING ACCESSORIES OR EQUIPMENT

- Belt buckles sold separately
- Briefcases
- Cosmetics
- Costume masks sold separately
- Hair notions, including, but not limited to, barrettes, hair bows and hair nets
- Handbags
- Handkerchiefs
- Jewelry
- Patches and emblems sold separately
- Sewing equipment and supplies including, but not limited to, knitting needles, patterns, pins, scissors, sewing machines, sewing needles, tape measure, and thimbles
- Sewing materials that become part of "clothing," including, but are not limited to, buttons, fabric, lace, thread, yarn and zippers
- Sunglasses, nonprescription
- Umbrellas
- Wallets
- Watches
- Wigs and hairpieces

TAXABLE PROTECTIVE EQUIPMENT

- Breathing masks
- Clean room apparel and equipment
- Ear and hearing protectors
- Face shields
- Hardhats
- Helmets
- Paint or dust respirators
- Protective gloves
- Safety belts
- Safety glasses & goggles
- Tool belts
- Welders' gloves and masks

TAXABLE SPORTS OR RECREATIONAL EQUIPMENT

- Ballet and tap shoes
- Cleated or spiked athletic shoes
- Gloves, including, but not limited to, baseball, bowling, boxing, hockey & golf
- Goggles
- Hand and elbow guards
- Life preservers & vests
- Mouth guards
- Roller and ice skates
- Shin guards
- Shoulder pads
- Ski boots
- Waders
- Wetsuits and fins

TAXABLE SUPPLIES

- Body massage appliances
- Hot tubs
- Household baby and bathroom scales
- Medic alert bracelets
- Room humidifiers and air conditioners
- Therapeutic foot baths

TAXABLE GROOMING AND HYGIENE PRODUCTS

- Antiperspirants
- Cleansing wipes
- Douches
- Mouthwash
- Shampoo
- Soaps and cleaning solutions
- Suntan lotions and sunscreens
- Toothpaste